

**Voluntary Report** – Voluntary - Public Distribution

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**Report Name:** 2021 - Direct Versus Indirect Trade - Bulgaria's Hidden Market for U S Ag Exports

**Country:** Bulgaria

**Post:** Sofia

**Report Category:** Beverages, Grain and Feed, Oilseeds and Products, Planting Seeds, Tree Nuts

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**Report Highlights:**

The U.S. Census Bureau's bulk, intermediate, and consumer-oriented (BICO) export data tracks U.S. food and agricultural trade shipped directly to Bulgaria. However, it does not measure the substantial levels of the U.S. agricultural trade to Bulgaria routed through Western European ports of entry. According to BICO, U.S. suppliers shipped \$28.1 million of U.S. food and agriculture to Bulgaria in 2021. However, according to Bulgaria's National Statistical Institute (NSI), which measures trade by country of origin and therefore reflects both direct and indirect trade, Bulgaria sourced \$80.1 million of U.S. food and agriculture in 2021. FAS Sofia encourages USDA cooperators and other U.S. food and agricultural exporters and stakeholders to look beyond BICO data and review different data sources when considering resource allocation and market development strategies for Bulgaria.

## Overview

The United States is Bulgaria's 26<sup>th</sup> largest supplier of food, drinks, and agricultural products. U.S. goods flow into Bulgaria either directly from the United States (mainly bulk and intermediate products) or are transshipped through the other western European Union (EU) ports of entry in the Netherlands, Germany, and Greece. Because [BICO](#) data only reflects direct U.S. trade with Bulgaria, it does not include significant volumes of U.S. products routed through distributors in Western European port cities. As a result, [Foreign Agricultural Service](#) (FAS)/Sofia (Post) views Bulgaria's [National Institute of Statistics](#) (NSI/Intrastat) data, which includes both direct and indirect trade, as a more accurate reflection of Bulgarian demand for U.S. food and agricultural products.

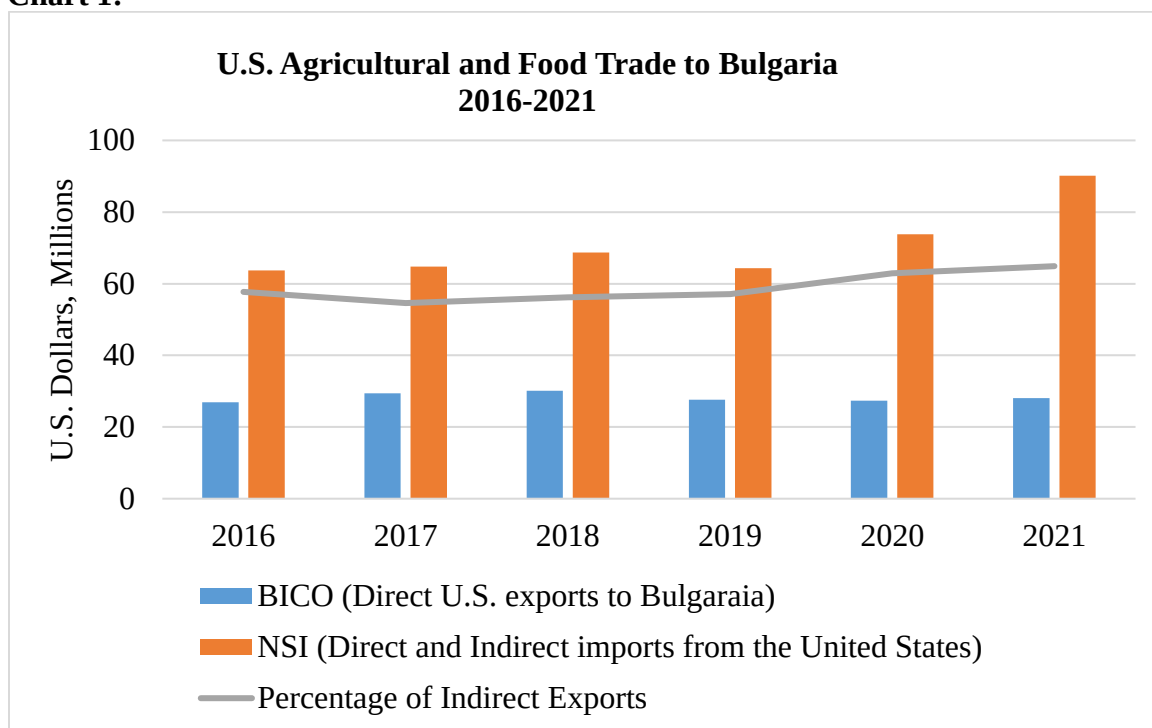
According to NSI/Intrastat data, Bulgarian importers sourced \$80.1 million worth of U.S. food and agricultural products in 2021, 8.5 percent more than in 2020. Sunflower seeds, food preparations, tree nuts, distilled spirits, and essential oils were the largest categories, and accounted for 73 percent of total U.S. food and agricultural trade to Bulgaria (Table 1).

**Table 1. U.S. Food and Agricultural Trade to Bulgaria 2016-2021 (\$ million)**

| Source of Data                                            | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 |
|-----------------------------------------------------------|------|------|------|------|------|------|
| BICO (Direct U.S. exports to Bulgaria)                    | 26.9 | 29.4 | 30.1 | 27.6 | 27.4 | 28.1 |
| NSI* (Direct and Indirect imports from the United States) | 63.7 | 64.8 | 68.7 | 64.3 | 73.8 | 80.1 |
| Difference (Indirect exports)                             | 36.8 | 35.4 | 38.6 | 36.7 | 46.4 | 52.0 |
| Percentage of indirect exports                            | 57.7 | 54.6 | 56.2 | 57.1 | 62.9 | 64.9 |

\*Data on direct imports published by Trade Data Monitor (TDM)

**Chart 1:**



### U.S. Food and Agricultural Trade to Bulgaria by Category

Direct U.S. agricultural trade to Bulgaria generally consists of bulk commodities shipped as sea freight, including wool, wood, soybean meal, sunflower and other planting seeds, and some seafood. The trade data for these categories are captured by both BICO and NSI/Intrastat data. For example, U.S. exports of corn, peanut oilcake, protein concentrates and wool to Bulgaria in 2021 were only direct trade and were correctly reflected by both sets of data. In 2021, direct U.S. exports to Bulgaria grew by 2.5 percent to \$28.1 million compared to 2020. In 2021, direct trade was challenged by the pandemic, supply chain challenges, and decreased investments in the country.

Indirect trade tends to be products that are shipped in smaller quantities and are usually destined for direct consumption. These products may require more flexible terms of trade than U.S. suppliers are able to provide. In other cases, Western European distributors can offer U.S. shippers sales volumes and/or payment terms that would be difficult for Bulgarian importers to match. Many U.S. exporters also find it more efficient to ship large volumes to well-established distribution hubs in Western Europe and rely on those channels to supply other EU markets. The challenges related to the supply chain in 2021 increased the shipping time from the United States to Bulgaria significantly, which made sourcing of U.S. products, especially more expensive, higher-end categories, from Western Europe much more efficient for local importers and distributors.

Some Bulgarian importers prefer to work through European distributors and find it convenient for intermediaries to handle EU customs clearance for U.S. products. The same applies for U.S. products that are subject to Tariff Rate Quotas (TRQs) for imports in the EU, where licensing for imports is subject to history of experience. For new-to-market products, most Bulgarian importers prefer to purchase smaller volumes to test consumer demand and to build distribution channels. This trend has been more pronounced in 2021 due to the pandemic.

Finally, European distributors may incentivize Bulgarian importers with favorable terms of payments or advertising, particularly if there are longstanding commercial relationships. With growing inflation and longer shipping time at the end of 2021, many local importers preferred to avoid direct imports due to the usual requirements of U.S. exporters for advance payments.

In 2021, indirect trade reached a record of \$52 million, a growth of 12 percent over 2020. The share of indirect trade to total trade in 2021 was also record high at almost 65 percent. This trend has intensified in 2022 due to growing inflation and quick growth of consumer demand in the summer due to improved tourism and travel. Table 2 below shows BICO and NSI/Intrastat data for U.S. agricultural trade to Bulgaria in 2021. Post interviews with trade sources in 2022 to date indicate that the share of indirect trade will likely continue to grow. An additional factor contributing to this trend is the more complicated and costly logistics for shipments destined to Black Sea ports.

**Table 2. 2021 Direct and Indirect U.S. Food and Agricultural Trade to Bulgaria (\$)**

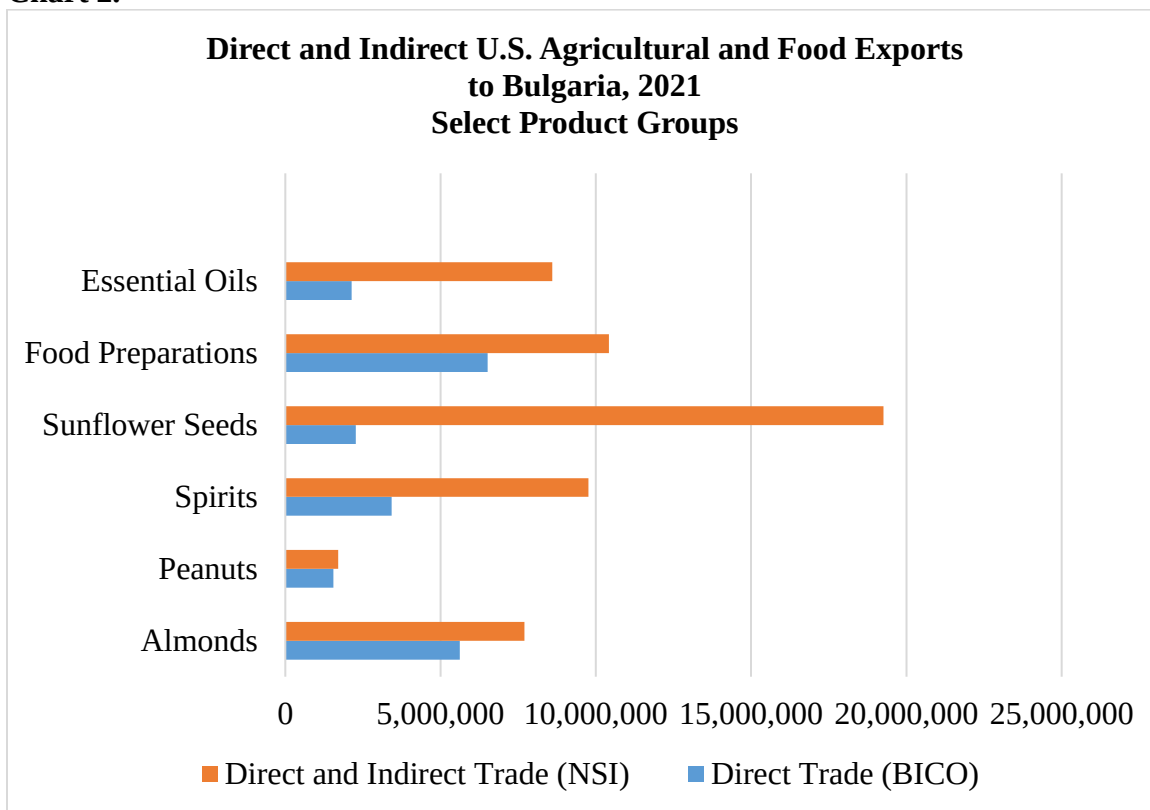
| HS Code | Description | NSI* (Direct and Indirect imports from the United States) in | BICO (Direct U.S. Trade to Bulgaria) in USD | Difference in USD | % of Difference Between Databases (Transshipments) |
|---------|-------------|--------------------------------------------------------------|---------------------------------------------|-------------------|----------------------------------------------------|
|---------|-------------|--------------------------------------------------------------|---------------------------------------------|-------------------|----------------------------------------------------|

|                                          |                                                                  | USD               |                   |                   |             |
|------------------------------------------|------------------------------------------------------------------|-------------------|-------------------|-------------------|-------------|
| <b>Agricultural and Related Products</b> |                                                                  | <b>80,133,963</b> | <b>28,105,495</b> | <b>52,028,468</b> | <b>64.9</b> |
| 01                                       | Live Animals                                                     | 56,580            | 29,453            | 27,127            | 47.9        |
| 0201 and 0202                            | Beef and beef products                                           | 496,400           | 0                 | 496,400           | 100         |
| 0300                                     | Fishery Products                                                 | 165,969           | 116,077           | 49,892            | 30.1        |
| 0500                                     | Products of animal origin (bovine genetics)                      | 448,280           | 297,734           | 150,546           | 33.6        |
| 0700                                     | Edible vegetables and certain roots and tubers                   | 549,870           | 64,463            | 485,407           | 88.3        |
| 0800                                     | Edible fruits and nuts                                           | 11,313,021        | 7,949,904         | 3,363,117         | 29.7        |
| -080212                                  | Fresh or dried almonds, shelled                                  | 7,700,381         | 5,614,357         | 2,086,024         | 27.1        |
| -080251                                  | Fresh or dried pistachios, in shell                              | 2,333,669         | 1,944,412         | 389,257           | 16.7        |
| 100590                                   | Corn                                                             | 219,819           | 214,536           | 5,283             | 2.4         |
| 1200                                     | Oilseeds and Oleaginous fruits                                   | 22,293,294        | 4,651,259         | 17,642,035        | 79.1        |
| -120421                                  | Peanuts In Shell                                                 | 538,729           | 480,982           | 57,747            | 10.7        |
| -120242                                  | Peanuts Shelled                                                  | 1,164,384         | 1,064,033         | 100,351           | 8.6         |
| -120600                                  | Sunflower seeds                                                  | 19,267,205        | 2,271,705         | 16,995,500        | 88.2        |
| -1209                                    | Clover and Vegetable Planting Seeds                              | 989,886           | 504,735           | 485,151           | 49.0        |
| 1800                                     | Cocoa and Cocoa Preparations                                     | 277,751           | 186,811           | 90,940            | 32.7        |
| 2000                                     | Preparations of vegetables, fruit, nuts or other parts of plants | 864,109           | 132,333           | 731,776           | 84.7        |
| 2100                                     | Miscellaneous edible preparations                                | 11,466,359        | 7,491,386         | 3,974,973         | 34.7        |
| -2103                                    | Sauce and Condiments                                             | 127,448           | 81,006            | 46,442            | 36.4        |
| -210690                                  | Food Preparations                                                | 10,416,692        | 6,511,459         | 3,181,009         | 31.7        |
| 2200                                     | Beverages, spirits and vinegar                                   | 10,967,937        | 3,949,944         | 7,017,993         | 64.0        |
| -2202                                    | Non-alcoholic beverages                                          | 973,771           | 357,040           | 616,731           | 63.3        |
| -2204                                    | Wine                                                             | 145,108           | 89,132            | 55,976            | 38.6        |
| -220830                                  | Whiskies                                                         | 8,729,594         | 3,380,769         | 5,348,825         | 61.3        |
| -220840                                  | Rum                                                              | 757,375           | 0                 | 757,375           | 100         |
| -220850                                  | Gin and Geneva                                                   | 107,397           | 0                 | 107,397           | 100         |
| -220870                                  | Liquors and Cordials                                             | 130,029           | 8,695             | 121,334           | 93.3        |
| 2300                                     | Residues from the Food Industry                                  | 1,045,633         | 392,576           | 653,057           | 62.5        |

|       |                                                     |           |           |           |      |
|-------|-----------------------------------------------------|-----------|-----------|-----------|------|
| -2309 | Preparations for Animal Feed (pet food)             | 619,953   | 181,034   | 438,919   | 70.8 |
| 3300  | Essential Oils                                      | 8,598,886 | 2,139,271 | 6,459,615 | 75.1 |
| 3500  | Albuminoidal substances, modified starches, enzymes | 929,054   | 347,104   | 581,950   | 62.6 |
| 4000  | Rubber                                              | 7,205,958 | 2,647,763 | 4,558,195 | 63.3 |
| 4400  | Wood                                                | 777,256   | 301,838   | 475,418   | 61.2 |

*\*Data on direct and indirect imports provided by the Bulgarian National Statistical Institute (Intrastat)*

**Chart 2.**



Trade data about live animals shows that in 2021 about half of this trade was carried out through indirect channels. This includes U.S. live duck genetics and horses. France was the most frequently used transshipment route.

BICO data shows no U.S. beef trade to Bulgaria in 2021, while NSI data shows that U.S. beef trade reached almost \$500,000, an increase of 140 percent over 2020. U.S. beef arrives in Bulgaria mainly through the Netherlands (more than 90 percent) and Italy because of volume flexibility and TRQ licensing requirements. In 2022, Post assisted the leading Bulgarian beef importer to apply for licensing under the TRQ for direct imports of U.S. beef.

In 2021, BICO accounted for over \$116,000 of U.S. fishery trade to Bulgaria, 23 percent more than in 2020. For 2021, NSI data indicates that over \$165,000 U.S.-origin fish and seafood were traded to

Bulgaria, mainly through Belgium, Romania, and the Netherlands. Some local seafood importers prefer European distributors, especially for higher-end products such as fish fillets and shellfish. This led to about 30 percent indirect trade in 2021.

U.S. bovine genetics is in high demand on the Bulgarian market. About a third of this trade is done via transshipments, mainly from the Netherlands and the United Kingdom. Local importers and distributors usually work with several suppliers, often combining U.S. origin with European. Shipments are usually consolidated, containing more than one origin product and making sourcing of U.S. product from other EU countries more efficient for local importers.

For edible vegetables (mainly potatoes and roots/tubers of manioc), BICO data shows about \$64,000 of direct U.S. trade to Bulgaria, while NSI data shows almost \$550,000. Most of these products entered Bulgaria through the Netherlands (48 percent), followed by Hungary (11 percent). Thus, the indirect trade with these products accounted for almost 90 percent in 2021.

Edible fruits and nuts are a significant trade category where indirect trade is usually up to 30 percent (2021). Countries for transshipments are Greece (9 percent), Turkey (7 percent), and Spain (4 percent). According to BICO, the U.S. almond trade to Bulgaria in 2021 was valued at \$5.6 million, and pistachios were valued at over \$1.9 million. Conversely, NSI data reflects \$7.7 million and \$2.3 million, indicating indirect trade of 27 percent and 17 percent, respectively.

NSI shows over \$1.7 million of U.S. peanuts are traded to Bulgaria, while BICO indicates the U.S. peanut trade with Bulgaria at \$1.5 million, with transshipments accounting for up to 10 percent of this trade.

Bulgaria is a large sunflower producer and a large consumer of U.S. sunflower seeds for planting. However, for logistical and commercial reasons, almost 90 percent of U.S.-origin sunflower planting seeds traded to Bulgaria in 2021, valued upwards of \$19 million, were shipped through Romania (26 percent), Austria (25 percent), and Italy (25 percent).

In 2021, BICO data indicates about \$132,000 of food processing ingredients (food preparations) trade, while NSI values U.S. trade of these products at about \$864,000, with indirect trade accounting for about 85 percent. Most U.S. food processing ingredients shipped to Bulgaria were routed through the Netherlands (42 percent), Greece (27 percent) and Spain (22 percent).

BICO reflects \$7.5 million trade of miscellaneous food preparations (yeasts, sauces, condiments, protein concentrates, and other), while NSI reports this trade at about \$11.5 million. Most of these products are transshipped to Bulgaria via the Netherlands (17 percent), Poland (8 percent), and Hungary (6 percent). Indirect trade of these products totaled 35 percent in 2021.

For distilled spirits (HS Code 2208), BICO data reflects \$3.4 million of U.S. trade to Bulgaria in 2021, while NSI data indicates \$9.8 million, a 65 percent difference. BICO data shows no U.S. trade of rum, gin, and vodka, while NSI data shows over \$873,000 of U.S. trade to Bulgaria for these products. Most U.S. distilled spirits are shipped to Bulgaria through Spain (33 percent), the Netherlands (8 percent), and Germany (8 percent). See Table 3 below for the primary categories of U.S. distilled spirits traded to Bulgaria.

Pet food trade (HS 2309) is carried out mainly via transshipments. In 2021, the share of indirect trade was at 70 percent. The main countries for routing are Belgium (36 percent) and Poland (28 percent). NSI data indicates imports at \$600,000 in 2021.

In the case of essential oils, BICO data shows \$2.1 of U.S.-origin essential oils were traded to Bulgaria in 2021, while NSI reflects \$8.6 million, a 75 percent difference. Most U.S. essential oils enter Bulgarian via the Czech Republic (27 percent), the Netherlands (14 percent), France (6 percent), Hungary (6 percent), Germany, and Spain.

For U.S. wood products, BICO data shows \$302,000 of trade in 2021, compared to \$777,000 from NSI, a 61 percent difference. Indirect trade of these products occurs mainly through Austria (27 percent) and Germany (17 percent).

**Table 3. U.S. Undenatured Ethyl Alcohol, Spirits, Liqueurs to Bulgaria 2016-2020 (\$)**

| HS Code | Description                                          |             | 2017 (\$)         | 2018 (\$)         | 2019 (\$)         | 2020 (\$)        | 2021(\$)         |
|---------|------------------------------------------------------|-------------|-------------------|-------------------|-------------------|------------------|------------------|
| 220830  | Whiskies                                             | BICO        | 6,340,315         | 6,820,171         | 5,227,732         | 3,241,036        | 3,380,769        |
|         |                                                      | NSI         | 10,441,264        | 11,949,659        | 10,209,786        | 7,418,571        | 8,729,594        |
| 220840  | Rum and other spirits                                | BICO        | -                 | -                 | -                 | -                | -                |
|         |                                                      | NSI         | 182,495           | 354,688           | 902,777           | 599,921          | 757,375          |
| 220850  | Gin and Geneva                                       | BICO        | -                 | -                 | -                 | -                | -                |
|         |                                                      | NSI         | 10,079            | 16,355            | 13,190            | 1,251            | 107,497          |
| 220860  | Vodka                                                | BICO        | -                 | -                 | -                 | -                | -                |
|         |                                                      | NSI         | 19,032            | 3,170             | 1,290,357         | 1,622,836        | 8,167            |
| 220870  | Liqueurs and cordials                                | BICO        | 13,530            | 28,932            | 7,791             | 50,464           | 8,695            |
|         |                                                      | NSI         | 293,501           | 294,731           | 205,048           | 160,104          | 130,029          |
| 220890  | Ethyl alcohol of an alcoholic strength of < 80% vol. | BICO        | -                 | 3,440             | 2,762             | 21,164           | 32,401           |
|         |                                                      | NSI         | 65,626            | 30,401            | 69,058            | 52,420           | 32,848           |
|         | <b>Total:</b>                                        | <b>BICO</b> | <b>6,353,845</b>  | <b>6,852,543</b>  | <b>5,238,285</b>  | <b>3,312,664</b> | <b>3,421,865</b> |
|         |                                                      | <b>NSI</b>  | <b>11,011,997</b> | <b>12,649,004</b> | <b>12,690,216</b> | <b>9,855,103</b> | <b>9,765,510</b> |

### **FAS/Sofia's Marketing Support for U.S. Agricultural and Food Exports**

One of FAS Sofia's core missions is to continuously support the promotion and expansion of U.S. agricultural products in Bulgaria. Post carefully monitors and analyzes the transshipment data to identify products with best prospects and tailors its marketing activities and efforts to support their growth on the Bulgarian market. These activities may vary from promotions targeting specific or broader groups such as importers, distributors, retailers, food service specialists, opinion leaders, and end consumers, to participation in leading domestic trade shows, attendance and recruitment of buyers at international trade shows, commodity-specific buyer missions in the United States, and others. In 2021, FAS Sofia participated in two large domestic trade shows and promoted a large range of U.S. agricultural products as well as recruited buyers to visit the largest food and beverage trade show in Germany – ANUGA, and nominated importers to attend buyer missions. These efforts attributed to the increase of U.S. exports of

products categories such as HS03 Fishery Products (29 percent), HS1202 Peanuts (44 percent), HS2103 Sauces and Preparations (397 percent), HS2204 Wine (417 percent), and others.

**Attachments:**

No Attachments.